Quarterly Insights

July 2021



Bringing your Investment Goals
to the Next Level

AXYS



Light at the end of the tunnel?

As we put this 2nd edition of 2021 Quarterly Insights to press, we are pleased to report that the Mauritian borders will soon open again to both business and tourism. After nearly 18 months of national lockdown this comes as a massive relief for all, and the local stock market has reacted accordingly with the Semdex climbing +16.5% over the quarter.

The strong economic rebound continues globally, with a 6% growth rate confirming the positive effects of the mega-investment programs launched by the US and Europe.

But unfortunately, not all is as seems, and in the background of good news has emerged the risk of a lasting inflationary environment and hiked interest rates which had initially been disregarded by the central banks.

As such our global asset allocation remains substantially in line with the first quarter: optimistic but cautious, with a growing emphasis on thematic investment opportunities vs. geographical ones.

We have substantially cut our Chinese exposure and increased our European sustainable theme. I strongly encourage you to have a look at our AXIOM Sustainability Premia Fund which we believe should behave very well in the months to come.

Our commodity play has been handsomely rewarded as illustrated by a 20%+ YTD performance on the Bloomberg Commodity Index. We believe there is yet more to come and remain firm on our trade.

As always we are delighted to share our thoughts with you and look forward to hearing from you as this is the core of what we do. We manage your money. Better.

Best,
Louis LALLIA
Client Coverage

> “There’s only one lane on this road and its heading toward the sustainable agenda, to climate neutrality”
>
> **Mairead McGuinnes**

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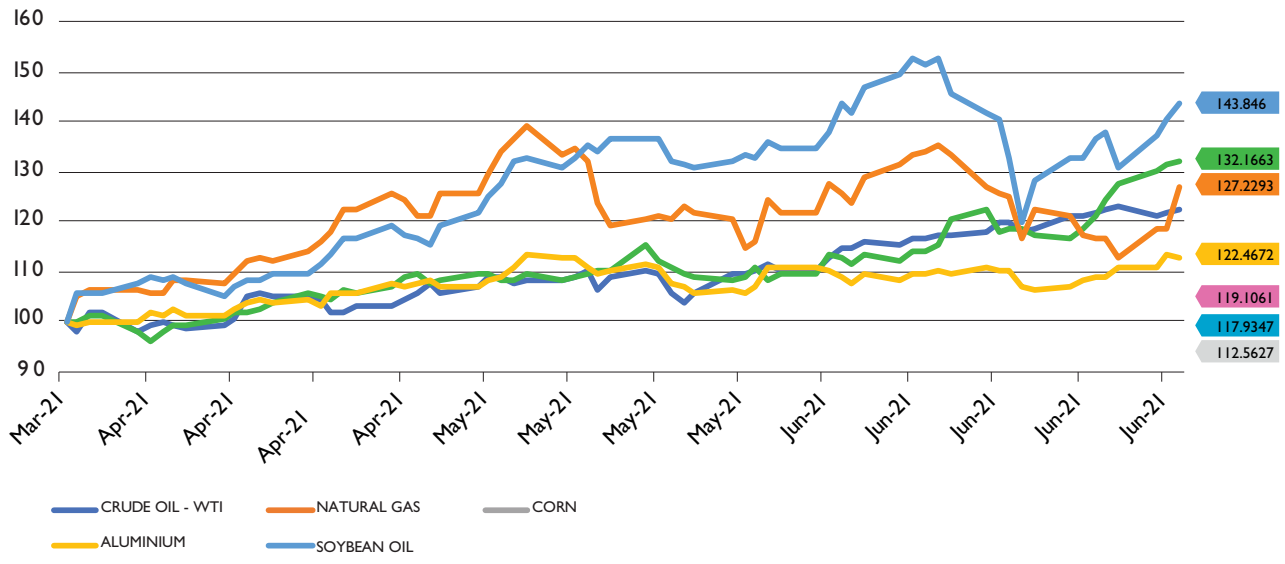
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Macroeconomic Outlook - Global

The global economy maintained its positive momentum over the quarter as the growth outlook became more entrenched. The real growth for the world in 2021 is expected to be 6.0% while the contraction in 2020 stands at -3.3%. This gives an clear indication of the strength of the economic recovery and the sheer impact of the fiscal stimulus. Risky assets outperformed over Q2'21, with the commodities sector leading the way. The Bloomberg Commodity Index rose by 13.3% over the last three months and is up 21.2% since the start of the year. After years of underperformance, commodities are at the beginning of a new cycle according to many analysts. They point to a distinct lack of investment in increasing the productive capacity of suppliers in recent years as a major supply constraint to meet the high post-pandemic demand.

We also witnessed a comeback of economies which were the most vulnerable to the Covid-19 outbreak – for instance, the equity markets of Brazil (BOVESPA +8.72%) and Mauritius (SEMDEX +16.55%) registered strong returns as they played catch up with their peers. The S&P Index rose by 8.2% led by energy and technological stocks. Inflation has become the main focus within the investing community with the debate centred around whether the rise in inflationary pressures will be transient or permanent. Latest core inflation figures for the United States rose to 3.8% in May, significantly above market expectations and well above the US Federal Reserve target of 2.0%. At its latest monetary meeting, the US Federal Reserve released its updated dot plot and abandoned its pledge to keep interest rates unchanged until 2023. 13 out of the 18 members of the committee actually expect two rate hikes before the end of 2023. This led to a flattening of the yield curve with traders pricing in a more reactive US Federal Reserve. The US5YR-10YR spread narrowed by above 20bps.

China's global influence is on the rise with the Yuan playing an increasing role in international markets. China wants its currency to become a credible alternative to the US Dollar. In recent years, the Chinese Yuan has become more independent from the US Dollar and more closely linked to Asian and emerging currencies. This heralds a more important role for the yuan going forward. While the first half of 2021 has been beneficial to the reflationary trade, the second half will likely be less straightforward. The inflation factor will be key to determining market trends. Should economic growth be below expectations, financial markets could come under pressure, especially if inflationary trends persist. Overall, we still expect risky assets to outperform, even though the magnitude of returns will likely shrink. We also see a compelling case to increase exposure to alternative strategies as part of a diversification play.



Source: Bloomberg, AXYS

Asset Class Performance

Equities (in local currency)	Value	Q2'21	6 Months	12 Months
S&P 500	4,298	8.55%	15.24%	40.77%
DOW JONES	34,503	5.08%	8.29%	36.34%
EUROSTOXX 50	4,064	5.25%	10.78%	29.01%
FTSE 100	7,037	5.63%	4.97%	18.00%
DAX	15,531	3.48%	9.40%	26.16%
CAC 40	6,508	9.07%	9.59%	35.55%
ASX 200	7,313	8.46%	4.65%	29.04%
NIFTY	15,722	7.51%	5.34%	54.96%
SHANGHAI COMP	3,591	5.37%	-0.89%	22.95%
JSE AFRICA ALSI	66,249	0.05%	13.15%	25.14%
SEMDEX	1,865	17.82%	-2.54%	14.34%

Currencies*	Rate	Q2'21	6 Months	12 Months
EUR vs USD	1.19	1.09%	-2.93%	5.55%
GBP vs USD	1.38	0.35%	1.18%	11.53%
JPY vs USD	111	-0.35%	-7.02%	-2.86%
AUD vs USD	0.75	-1.32%	-2.55%	8.62%
BRL vs USD	4.97	13.41%	4.57%	10.00%
ZAR vs USD	14.3	3.45%	2.88%	21.46%
CNY vs USD	6.46	1.48%	1.08%	9.43%
MUR vs USD	42.7	-4.40%	-6.93%	-5.95%
MUR vs EUR	50.6	-5.26%	-3.88%	-10.81%
MUR vs GBP	59.4	-5.11%	-7.73%	-13.92%
MUR vs ZAR	2.98	-8.08%	-10.39%	-28.87%

*A+1.00% change in A vs B means an appreciation of 1.00% of currency A versus currency B

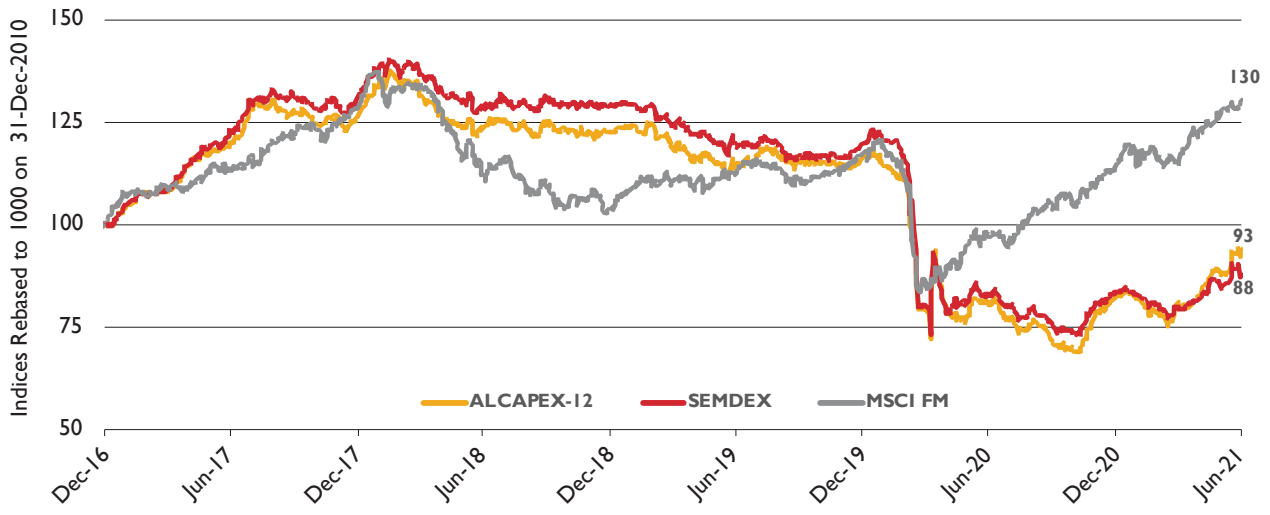
Fixed Income	2Y (%)	Q2'21	10Y (%)	Q2'21
United States	0.25	0.09	1.47	-0.27
Germany	-0.66	0.03	-0.21	0.09
United Kingdom	0.06	-0.04	0.72	-0.13
Italy	-0.37	0.01	0.82	0.15
France	-0.64	0.02	0.13	0.17
Australia	0.06	-0.02	1.53	-0.26
China	2.66	-0.08	3.09	-0.10
South Africa	5.29	-0.04	9.26	-0.23
India	4.77	0.10	6.05	-0.12
Mauritius	2.00	0.95	4.40	1.90

Commodities (in US Dollars)	Value	Q2'21	6 Months	12 Months
Commodity Index	94.5	13.30%	21.12%	45.50%
Crude Oil WTI	75.1	18.24%	45.04%	230,39%
Brent Oil	73.5	24.19%	51.42%	258.74%
Gold (ounce)	1770	3.65%	-6.76%	12.23%
Silver	26.1	7.00%	-1.05%	86.96%
Palladium	1075	-9.43%	0.31%	48.73%
Copper	430	7,53%	22,09%	92.84%
Iron Ore	1381	17.63%	27.99%	102.49%
Wheat	672	8.66%	4.84%	18.07%
Sugar	17.6	19.36%	13.82%	69.19%

Macroeconomic Outlook - Mauritius

Preamble

After a year of underperformance, the SEM, reversed the trend with a bang. The last time we saw such performance dates back to September 2009. The SEMDEX was up 16.4% while the SEMTRI was up 17.70% during the last quarter.



Source: AXYS

The national budget was presented by the Finance Minister, Mr Renganaden Padayachy on the 11th of June 2021.

Mauritius: Budget and its implications:

- Tourism - As from 15th July 2021, the borders will be open to visitors who will be allowed to come but be restricted for the first 14 days of their holidays to one resort only. As from 1st October 2021 tourists will no longer have this restriction subject to proper vaccination and negative PCR tests. A target of 650,000 tourists has been setfor the country over the next 12 months. Expectations are also for 50,000 foreign retirees to come to Mauritius over the next year. The Mauritius Tourism Promotion Authority (MTPA) set a budget of Rs 420m for the marketing of our destination globally. However, it seems that the national budget has completely missed our national carrier, Air Mauritius, for which Rs 9bn was earmarked in last year's budget. Listed companies which will be impacted are Lux* Resorts, Sun Resorts, New Mauritius Hotels Ltd, Rogers, ENL Group, Morning Light, Southern Cross Tourist and Constance Hotel Services Ltd.

- Sugar Conglomerates - With the introduction of the biomass framework, sugar cane growers will benefit from a remuneration of Rs 3,300 per ton of sugar for bagasse. This represents a fair remuneration of bagasse which will contribute largely to the survival of the cane industry. This significant increase in remuneration of bagasse goes in line with the green energy plans set by the Government. Listed companies which will be impacted are ENL Group, Alteo Ltd, Omnicane, Terra Mauricia Ltd, Medine and Constance La Gaiete Ltd.

- Property and Development - Change in the Invest Hotel Scheme with a raised maximum of 80% of the units that can now be sold, while maximum owner-occupied days of a room now being at 6 months annually will be an incentive for those tempted by this scheme. After the minimum selling price of a villa was reduced from USD 500k to USD 375k, there is now a reduction of the registration tax on transfer of lease of state lands from 20% to 10% for hotels for a two-year period. Listed companies which will be impacted are Sun Resorts and New Mauritius Hotels Ltd.

- Construction companies will benefit from the allocation of a significant Rs 65bn injection in projects over the next three years. These will be invested in projects relating to land drainage, improving the road network, social housing, building additional sports and recreational facilities as well as projects targeted at the general embellishment of Mauritius. Also, there are measures to support

homeownership which includes a refund of 5% to individuals on the cost of residential land or property acquired in the fiscal year 2021-2022 capped at Rs 500k, exemptions from registration duties, support for loans and sale of 2000 lots by Rose Belle Sugar Estate and the SIC. The Government also renewed their commitment to deliver 12,000 social houses. This should impact positively on the construction sector. Listed companies which will be impacted are United Basalt Products, Gamma Civic Ltd and Kolos Cement Ltd.

- Healthcare/Pharmaceutical Companies - The pharmaceutical industry was projected as a fresh pillar by the Government. With seed capital of Rs 1bn in biotechnology to produce vaccines and other pharmaceutical products coupled with fiscal incentives in the form of tax credits and tax exemptions, this industry could eventually help reduce unemployment in Mauritius when it takes off. The Overseas Treatment Scheme has been increased to Rs 100k per patient and the Government will also set up a partnership with private hospitals for treatments not available in the public sector. Listed companies which will be impacted are C-Care Ltd and Ciel Ltd.

- Energy and Renewable: The vision to have 60% of our energy generated from green sources and the phasing out of coal by 2030 is welcomed by the population. This would reduce our dependency on imported fossil fuels, which is a major outflow of foreign currency for the country. Increase in the price of gasoline and diesel to fund Covid-19 vaccine cost, will have limited impact on transport and overall demand. Listed companies which will be impacted are Alteo Ltd, Terra Mauricia Ltd, Vivo Energy Mauritius Ltd and Omnicane.

- The budget deficit is estimated at Rs 28bn. This will be financed by Government bonds, pushing the rates upwards. Banks will benefit from the widening gap of the increasing bond yield and low saving rate. Listed companies which will be impacted are MCB Group Ltd, SBM Holdings Ltd, ABC Banking Corp Ltd.

The Mauritian economy is expected to grow by 5.4% this year compared to a decline of 14.9% in 2020. This forecast assumes that sugar production will be around 275,000 tons which is in line with last year's production and an increase in the production of special sugars for export. Textile Manufacturing and Construction are expected to bounce back by 18.5% and 25.2% respectively after over 25% contraction last year for each of them. The ICT sector and Financial and Insurance are expected to grow by 7.0% and 3.8% respectively. Both these sectors had recorded a growth last year despite lockdown measures. Consumption expenditure of households and general Government is expected to grow by 1.4% against a drop of 15.7% in 2020. Year-on-year inflation in Mauritius worked out to 5.9% in June 2021, compared to 1.7% in June 2020. With the Mauritian Rupee depreciating massively during the last 6 months and an increase in the cost of freight, we can only see inflation going up in the coming months.

Economic comment and sectorial views

Banking & Insurance

After a year of turbulence, banks have started publishing encouraging figures. Further to MCB announcing an expected interim dividend of Rs 7.25, investors relying on dividends were back on banks expecting other to follow the same trend. The stock price for MCB was up 24.4% during the quarter

Banks should fare better in the coming months with an expected GDP growth of 5.4% as compared to a contraction of 14.9%. With the reopening of our borders and deconfinement, more and more economic activities will take place. Hence this will have a direct impact on banking activity.

Insurers' general business performed well during the first half of 2021, thanks to fewer claims even though the 2nd confinement was much shorter than that of last year. With the regional diversification targeted by many local insurers, the turnover is bound to go up and their profitability should follow the same trend.

Travel & Leisure

Mauritius reopening its borders will come as a breath of fresh air to the hotels. We expect a limited number of travellers during the period 15th July 2021 to 1st October 2021. Wage Assistance and Self-Employed Assistance Schemes to tourism-related companies were extended for a 3 months period up to September 2021. However, we still believe that it will take at least a couple of years for the tourism industry to be back to pre-pandemic levels.

Macroeconomic Outlook - Mauritius

Agriculture

The sugar conglomerates were expected to do better this year due to initiatives to lean their activity through better processes and cost cutting. However, the implementation of the biomass framework means most sugar conglomerates will find their local operation in the green again. They will also continue to derive benefit from their massive land banks given there is a constant demand for residential land by the risk-averse Mauritians. Indeed 'morcellement' plots brought to the market by those conglomerates in well located areas have been flying off-the-shelves.

Trade

Trade was negatively impacted again this year due to the 2nd lockdown; Statistics Mauritius figures show that consumption was down 4.2% in the first quarter of 2021 following a reduction of 8.3% observed in the previous quarter. Final consumption expenditure of households declined by 4.2% and that of general Government by 4.0% for when?. This trend may also be true for the second quarter 2021 because of the 2nd lockdown and many small businesses like restaurants, food courts, among others, were closed. Many such businesses may not have survived after this 2nd lockdown.

A change in consumption patterns which includes a shift to cheaper groceries has been noted. This may be due to a continuing increase in the cost of consumers basket, lower household income and higher unemployment. We, therefore, believe that traditional must-have consumer non-cyclical companies will have a noticeable contraction in both revenue and margins in 2021.

Manufacturing

Manufacturing figure has further gone down in the first quarter of 2021. Statistics Office Mauritius figures show that manufacturing further contracted by 5.6% after the reduction of 11.3% observed in the previous quarter. The contraction of 5.6% resulted from declines in food by -4.0%, textile by -13.9% and other goods manufacturing by -7.0%.

The national budget provided a Rs 5bn fund to modernize the manufacturing and agriculture sectors. This could help boost our manufacturing sector which will help the country access foreign currencies. Several other facilities such as cheaper financing, tax holidays, training programmes, freight rebate scheme and bunkering measures will be made available to support the manufacturing sector.

The Mauritian Rupee's steep depreciation is no doubt helping in alleviating some of the misery of this sector. This could even help this sector prosper in the future as it will increase revenue and margins in Rs terms for export-oriented enterprises.

Property

Property companies will be impacted differently in this sector. Those companies that are engaged in rental of commercial space and offices may face problem of delayed rental or request of waiver, higher vacancies due to franchises closing or offices reducing space due to the work from home new normal. Moreover, in recent years we have also noted an excess supply of commercial and office space.
Some hotel-linked property companies have held rent, but this have been accrued to their respective accounts. We expect them to pay this rent once their cashflow improves.

Yields

The fact that there were more bond issues of different maturities during the quarter has massively increased bond rates, that is the rate at which Government is financing itself and has wiped out the excess liquidity in the market. This high number of bond issuances may be linked to the financing of Government deficit for the financial year ending 30th June 2021.
The latest 15-year Government of Mauritius Bond (16th June 2021) had a weighted average yield standing at 4.65%. This represented a 108bps rise in the weighted average yield compared to the auction held in April 2021.

Conclusion

The announcement of the re-opening of our borders has been welcomed with huge relief by the local stock market. We can also see sugar conglomerates excelling on the market presumably due to the implementation of the biomass framework. The 3rd phase of deconfinement has been another positive aspect which will help more economic operators to come back into play and help the economy. However, the fact that many companies have resumed the payment of dividends has been the main trigger for the rebound in the stock market.

Macroeconomic Outlook - Mauritius

Equities (in local currency)	Value	Market Cap. (Mn)	Q2'21	6 Months	12 Months
MCB Group	273.00	65,381	24.4%	14.5%	15.7%
SBM Hldg	4.45	11,489	27.1%	23.6%	15.0%
ABC Banking	16.00	1,220	-1.5%	-8.6%	-20.0%
CIM Fin Svcs	7.46	5,077	8.1%	16.2%	24.3%
Fincorp Inv	20.50	2,119	11.4%	10.8%	2.8%
MUA	113.42	5,767	17.3%	26.1%	25.7%
SWAN General	306.75	2,539	1.2%	2.3%	5.8%
Beachcomber Res	5.68	3,118	23.5%	4.0%	1.1%
LUX* Res	33.00	4,525	22.4%	24.1%	17.9%
Sun Res	18.50	3,227	26.3%	34.1%	25.0%
Lottotech	8.62	2,931	3.9%	-7.1%	10.8%
Alteo	25.80	8,217	25.5%	24.3%	69.7%
Terra	23.85	5,427	19.3%	20.5%	21.4%
Omnicane	18.90	1,267	36.0%	25.2%	31.2%
Medine	52.50	5,513	38.2%	25.0%	21.4%
IBL	47.50	32,311	6.7%	0.1%	-3.1%
CIEL	5.10	8,602	13.3%	34.9%	46.6%
ENL	20.75	7,781	36.5%	37.9%	15.3%
Rogers & Co	22.00	5,545	9.5%	0.0%	2.3%
Gamma-Civic	40.50	5,397	15.7%	39.9%	39.7%
Excelsior Utd Dev	15.20	1,846	7.8%	16.9%	44.8%
Innodis	45.00	1,653	3.3%	3.4%	4.7%
Mtius Oil Ref	20.50	682	-0.5%	-1.0%	-4.7%
Phoenix Bevs	600.00	9,868	0.5%	1.5%	-2.3%
Livestock Feed	17.60	1,663	2.3%	2.5%	17.3%
Vivo Energy Mtius	240.00	7,037	5.8%	9.1%	8.1%
Ascencia	30.25	14,741	42.4%	74.9%	78.9%
Attitude Property	11.00	1,760	4.8%	-3.5%	-3.9%
Caudan Dev	0.98	1,960	7.7%	2.1%	-3.9%
Semaris	1.05	576	14.1%	5.0%	-4.5%
Lavastone Prop	2.10	1,429	60.3%	34.6%	47.9%
Grit RE Inc Grp	0.60	7,950	-9.1%	-20.0%	-17.3%
Utd Basalt Prod	144.75	3,837	12.6%	20.1%	12.6%
Mtius Dev Inv Trust	2.66	1,126	20.9%	13.2%	11.3%
POLICY	4.34	985	18.6%	8.2%	-3.6%
National Inv Trust	35.00	959	-6.9%	-6.7%	5.1%
Promotion & Dev	81.50	3,176	11.6%	5.8%	-9.4%

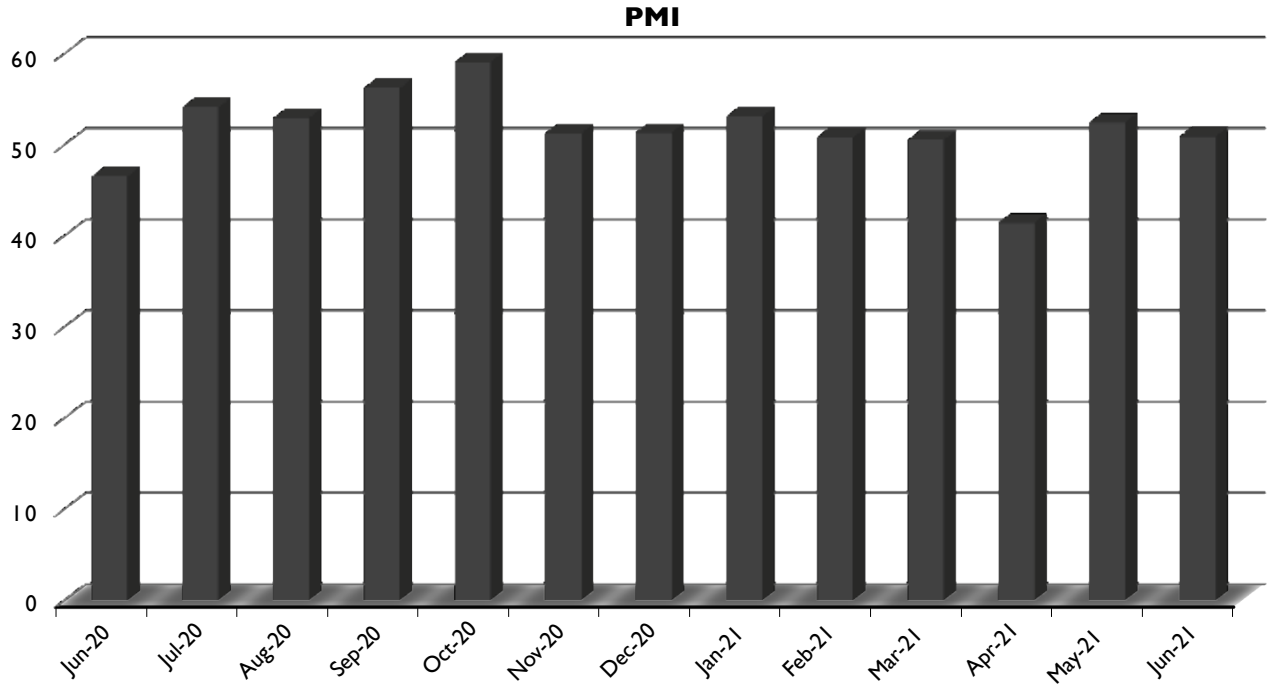
Macroeconomic Outlook - Kenya

GDP

Q2'21 began on a low note as activity was affected by the lockdown measures imposed by the Kenyan government to combat a surge in coronavirus infections. Economic growth is expected to have picked up in May as the government eased the lockdown measures. The Markit Stanbic Bank Kenya Purchasing Managers' Index (PMI) rose from 41.5 in April to close the quarter at 51.0, indicating an improvement in the business environment, and increase in employment and production.

Key macroeconomic indicators remained stable as the Central Bank of Kenya maintained an accommodative monetary policy stance. The Kenyan shilling gained 1.5%, 0.3%, and 1.0% against the USD, EURO and GBP respectively, supported by inflows from IMF, World Bank, a Eurobond and strong diaspora remittances. Meanwhile, inflation gradually increased from 5.9% in March to 6.3% in June.

We anticipate a faster-paced growth in H2'21 as the government embarks on its recovery program. In line with our expectation, the World Bank has since revised its 2021 growth estimates to 4.5% from its previously overambitious target of 6.0%.



Budget

The National Treasury proposed a KES 3.03 trillion ($28.1Bn) budget for FY2021/22 with revenue anticipated to come in at KES 2.04 trillion ($18.9Bn) and a fiscal deficit of KES 0.93 trillion ($8.62Bn) which is 7.5% of GDP.

The fiscal deficit will be financed by net external borrowing of KES 271.2Bn ($2.5Bn) and net domestic borrowing of KES 658.5Bn ($6.1Bn). The domestic borrowing target is a 33.5% increase from the previous year. We, therefore, expect an increase in interest rates as the government is likely to accept aggressive bids as it seeks to meet its domestic borrowing target.

The sustainability of Kenya's debt remains a key concern as sovereign debt levels increase. The latest figures from the National Treasury indicate that in March, the country's total public debt stood at KES 7.34Bn ($68.01Bn) which is 66% of GDP.

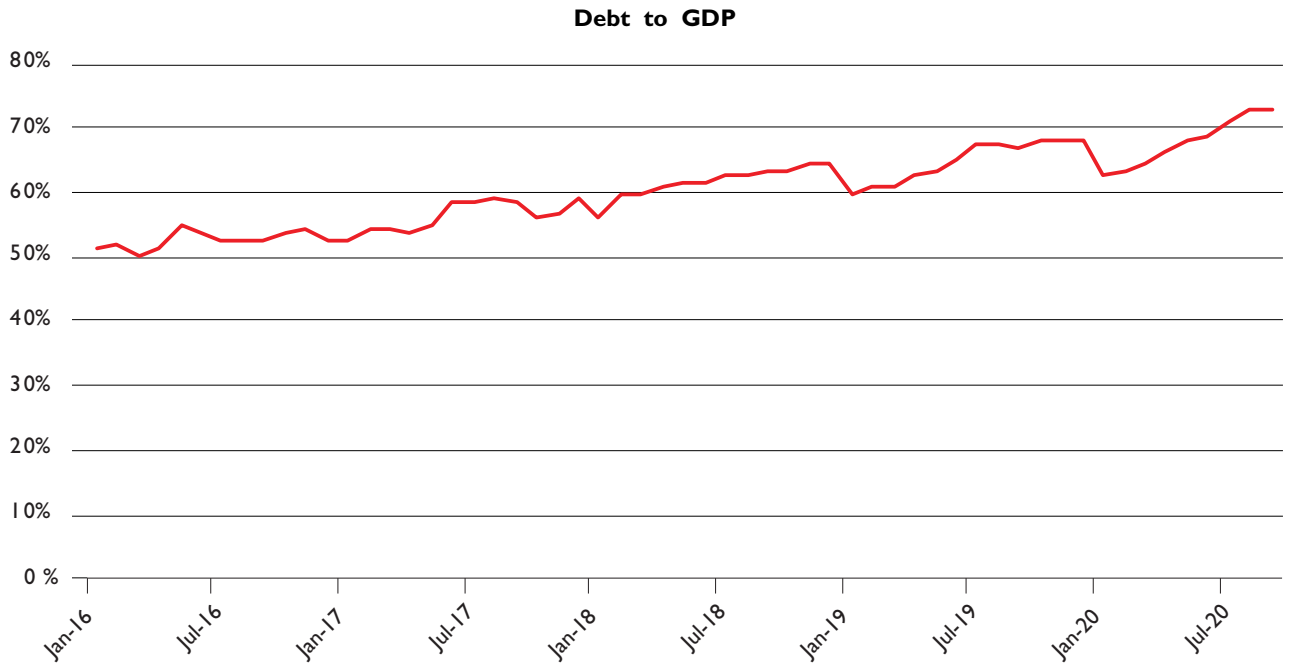
Equity Market

During the quarter, the NSE 20 and NASI indices were up 4.39% and 9.40% respectively. On a year-to-date basis, the NSE 20 and NASI were up 3.17% and 14.08% respectively. Equity market turnover increased by 20.1% to KES 37.99Bn

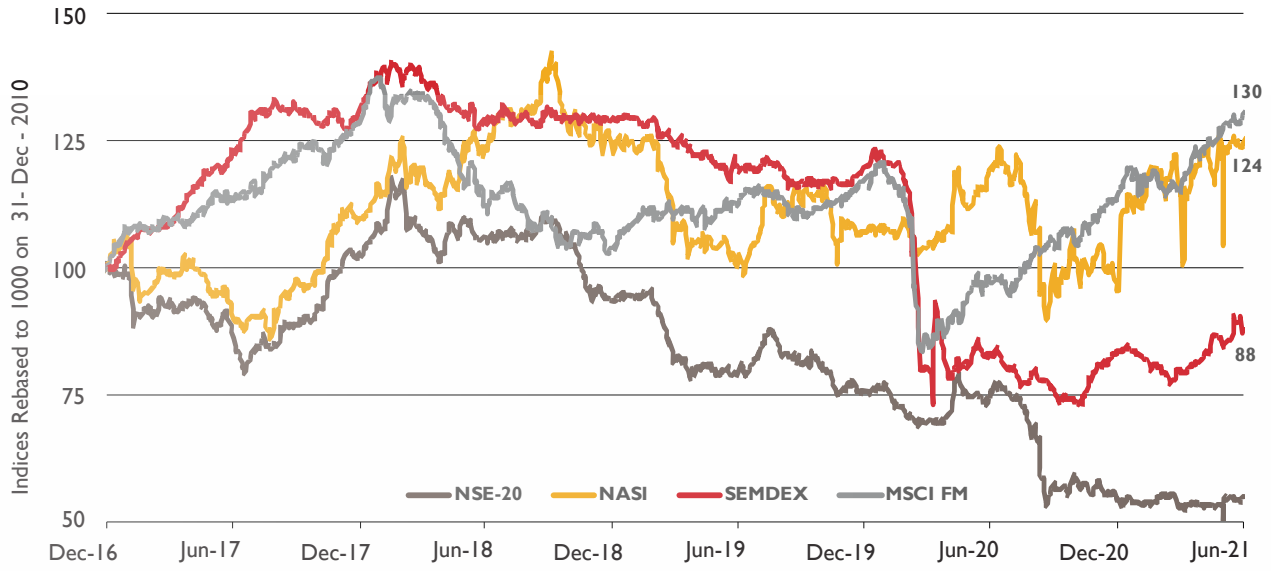
($352.25Mn) in 2Q21 from KES 31.65Bn ($293.42Mn) in 1Q21. The pick-up in activity was on the back of increased investor sentiments on Safaricom and banking stocks.

In Q2'21, Safaricom touched a high of KES 42.75. The positive sentiment on Safaricom was mainly fueled by news that a consortium led by Safaricom, was awarded a 15-year telecommunications licence to operate in Ethiopia. The financial investment in Ethiopia is expected to be over $8 billion, partly funded by a loan from US International Development Finance Corporation. There is a huge potential for growth in the Ethiopian market, with a 100 million population and a mobile penetration rate of 44%. However, the huge infrastructure investment in the new market is likely to cause an increase in the Telco's capital expenditure.

In Q3'21, improved investor sentiment is likely to drive gains in the NSE. We expect increased interest in the Banking, Manufacturing, and Construction sectors. The improved economic conditions are likely to bode well for banks as their loan books expand, asset quality improves, and provisions decrease. The increased government infrastructure spending has led to a pick-up in cement supply and demand. This is likely to benefit the cement sector and particularly Bamburi Cement as the main supplier of cement for the government's infrastructure projects. In the manufacturing sector, EABL is likely to benefit from the easing restrictions as demand for beer and spirits increase.



Macroeconomic Outlook - Kenya



Source: Bloomberg, AXYS

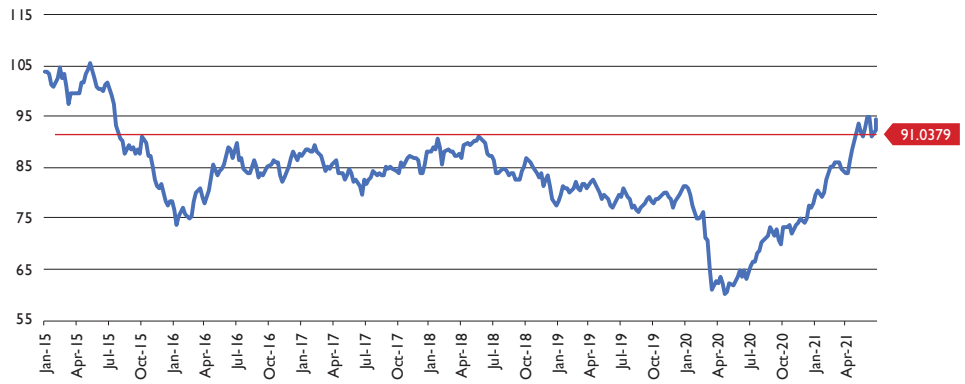
Conclusion

Overall, we remain positive about Kenya's growth prospects as we expect 2021 GDP growth to increase to 4%. Higher food and fuel prices are likely to push headline inflation above 7.5% while the Kenyan shilling is expected to remain stable, supported by CBK's intervention in the currency market. The equity market is likely to be supported by improving investor sentiments. We, however, remain concerned about the government's budget deficit and increasing debt levels.

Equities (in local currency)	Value	Market Cap. (Mn)	Q1'21	6 Months	12 Months
ABSA Group	9,92	132	12,5%	2,7%	10,0%
Bamburi Cement	35,15	2 812	-3,8%	-7,1%	37,8%
British American Tobacco	450,00	225 000	-5,3%	17,4%	37,2%
Bank of Kigali	27,00	756	33,3%	31,7%	60,2%
Britam Holdings	7,24	65	3,1%	4,0%	6,8%
Carbacid Investments	12,00	96	3,4%	0,4%	51,9%
CIC Insurance Group	2,16	6	3,8%	1,9%	-11,8%
Co-operative Bank	13,80	226	4,5%	14,0%	31,4%
Crown Paints	36,30	2 269	-13,4%	-1,9%	-22,8%
Centum Investment	17,40	513	11,5%	8,4%	-24,7%
Diamond Trust Bank	59,25	6 458	-5,6%	-19,4%	-9,9%
East African Breweries	180,75	35 879	14,4%	17,4%	16,8%
Equity Group	44,75	2 394	17,9%	23,3%	37,5%
STANLIB FAHARI I-REIT	6,14	58	-9,2%	9,3%	2,3%
HF Group	3,87	25	-3,5%	20,6%	-0,3%
I&M Holdings	21,85	2 360	-12,6%	-5,0%	-5,4%
Jubilee Holdings	350,50	123 026	29,6%	25,4%	46,0%
KCB Group	42,65	2 303	3,3%	11,9%	24,0%
KenGen	3,94	23	-13,4%	-12,4%	-33,7%
Kenya Re Insurance	2,47	7	1,2%	4,7%	4,2%
Kenya Power	1,40	4	3,7%	-16,7%	-28,9%
Kakuzi	405,00	137 700	14,1%	11,0%	2,3%
Liberty Holdings	8,66	3 585	5,1%	12,5%	6,7%
Longhorn Publishers	4,22	29	3,9%	-13,7%	-12,8%
Nairobi Business Ventures	10,20	7	142,9%	130,2%	1600,0%
NCBA Group	25,50	940	1,4%	2,6%	5,6%
Nation Media Group	25,00	995	48,4%	58,7%	137,0%
Nairobi Securities Exchange	8,36	103	6,1%	1,5%	22,9%
Sasini	18,05	305	4,9%	-3,7%	5,6%
Stanbic Holdings	81,00	8 849	-0,3%	-4,7%	-2,7%
WPP Scangroup	5,20	89	-3,7%	-13,3%	-54,0%
Standard Chartered Bank	129,75	26 274	-8,5%	-10,5%	-15,6%
Safaricom	41,45	1 306	14,3%	21,9%	47,2%
Standard Group	17,40	479	-17,1%	-17,1%	-24,3%
Sanlam	10,00	172	-7,4%	-22,8%	-25,9%
Total Kenya	25,00	688	6,4%	4,2%	5,9%
TPS Eastern Africa	14,00	246	-22,0%	-16,9%	2,6%
Umeme	5,84	48	-18,0%	-19,6%	-18,9%
Unga Group	27,80	945	-9,4%	-12,6%	-7,3%

Commodities on fire !

The commodities sector, as proxied by the Bloomberg Commodity Index, has been firing on all cylinders in the post-pandemic era as massive fiscal stimulus along with the strong momentum from a recovering economy combined to propel demand for commodities to heightened levels. According to many analysts, the sector could face supply shortfalls in the near future as the required investment to increase the productive capacity of commodity producers has been lacking in recent years. The Bloomberg Commodity Index is at its highest level in six years and is poised to rise further.



Source: Bloomberg, AXYS

Brazilian Real to reverse losses against South African Rand

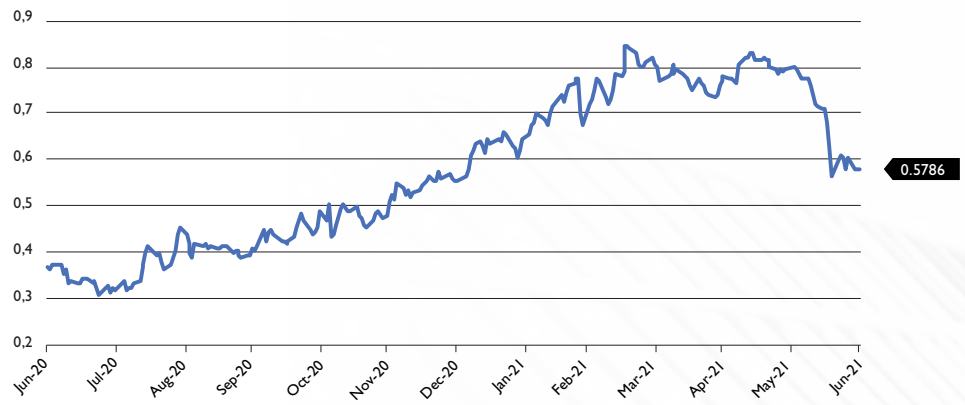
Since the onset of the pandemic, the Brazilian Real (BRL) depreciated by 30% versus the South African Rand (ZAR) as the Brazil became an epicentre of the Covid-19 virus. While the country has not yet fully emerged from the crisis, a decelerating trend with respect to new Covid-19 cases and an ongoing vaccination campaign suggests that the worst is probably behind for Brazil. Brazilian GDP is expected to grow at 5.1% in 2021 compared to 4.3% for South Africa.



Source: Bloomberg, AXYS

Flattening of the US Yield Curve

The US Federal Reserve released its latest dot plot projections in June and caught many investors off guard as the central bank acknowledged rising inflationary pressures and renounced on its pledge to keep interest rates unchanged until 2023; it now anticipates two rate hikes by the end of 2023. This led to a major repricing across the US Yield Curve with the spread between the 5YR and10YR part of the curve narrowing by 20bps. This is atypical of an early economic cycle market.



Source: Bloomberg, AXYS

Portfolio Performance

The second quarter of 2021 was marked by a global rise in inflation levels, principally due to rising prices for a wide range of raw materials.

We maintained our equity exposure unchanged, after increasing it during the first quarter of the year, as global markets continued to perform well amid progress in vaccine rollout and subsequent economic recovery.

We decreased our exposure to Chinese equities by selling half of our position on a pure Chinese equity fund but maintained our exposure to Asian equities provided by one of the best funds in our investment universe.

We also took profit on gold by selling half of clients' exposure at $1,900, which proved to be a wise decision as gold price decreased shortly after.

Fixed income markets consolidated over Q2 but we witnessed a repricing across the yield curve following the US Federal Reserve decision to be more hawkish as inflationary pressures accelerated. We maintained our stance towards short duration and expect yields to resume their ascent in coming months.

The local market picked up as expected and displayed a solid performance during Q2. Our portfolios were well positioned to benefit from this surge at the beginning of the quarter and we added some conviction plays which started to bear fruits shortly after. We remained particularly keen on financials as they are poised to thrive within current market conditions. The depreciation of the Rupee was cushioned on our MUR portfolios as the portfolios benefited from their non-MUR exposure.

Conservative	QTD	YTD	1 Year	3 Years (ann)
USD	1,22%	-1,55%	5,17%	-0,01%
EUR	1,80%	-	-	-
MUR	1,89%	0,31%	3,57%	6,95%

Defensive	QTD	YTD	1 Year	3 Years (ann)
USD	2,33%	1,09%	8,88%	3,54%
EUR	1,77%	1,59%	6,56%	-
MUR	7,04%	5,15%	9,81%	3,79%

Balanced	QTD	YTD	1 Year	3 Years (ann)
USD	1,46%	-0,83%	7,06%	2,09%
EUR	1,27%	2,41%	6,56%	2,02%
MUR	7,41%	5,70%	14,83%	3,66%



Trade Ideas

Aim For Sustainability – AXIOM Sustainability Premia

The COVID-19 pandemic along with the recent dramatic weather events in North America linked to the global warming phenomenon have highlighted how vulnerable our socio-economic organization is to natural disasters. AXYS believes that sustainable investing which consists of balancing traditional investing with Environmental, Social and Governance-related insight (ESG) improves the long-term outcome.

Hence, AXYS has launched its own sustainable fund, resolutely anchored in the current trend for a new financial world. AXIOM Sustainability Premia is an alternative investment fund offering a sustainable investment solution with a European focus, while proving resilient in up-market and down-market cycles.

The Fund aims to capture the expected premium from ESG-related equities in both falling and rising markets. In light of the recent comment from Mairead McGuinness, the European commissioner for financial services: "There's only one lane on this road, and its heading towards the sustainable agenda, to climate neutrality", we believe that the European market, which is considered as the most mature sustainable universe, is the ideal vehicle to achieve our vision.

Positive Outlook for Mauritian Fixed Income

The Mauritian fixed income sovereign market experienced heightened volatility over the last quarter despite the interest rate remaining unchanged. Issuance by the government of Mauritius was abnormally high towards the end of the financial year and is the main culprit behind the major steepening of the yield curve.

The 10-year yield rose by 239 basis points. We believe it is an opportune time to enter the Mauritian fixed income market with long-term fixed income instruments looking oversold. The 2YR-10YR spread stands at 236 basis points at the end of June 2021 and is at the top end of historical spreads.

More to come from Commodities

The hot trade of the first half of 2021 has been commodities; the sector benefited from significant inflows as investors correctly anticipated rising commodity prices on account of demand and supply dynamics. We expect the momentum behind commodities to slow over Q3'21 but nevertheless we still anticipate prices for most commodities to rise further.

One should not underestimate the scope of fiscal stimulus deployed by governments around the world. This should support demand for commodities for the foreseeable future. We also believe that the lack of recent investment by miners and farmers will represent a major supply constraint and this should push prices further up.

The Path to Herd Immunity or the New Normal Fallacy?

VIX Index:

The VIX Index did not suffer any major spike during Q2'2021. However, there was a momentary increase in mid-May when U.S. equities whipsawed as concerns over inflationary pressures spilled over. Headline Consumer Price Index (CPI) data was up 4.2% year-over-year, which was the highest measure since 2008 while Core CPI, which excludes food and energy, was up 3% - the highest reading since 1996.

VIX Index - Since 2020

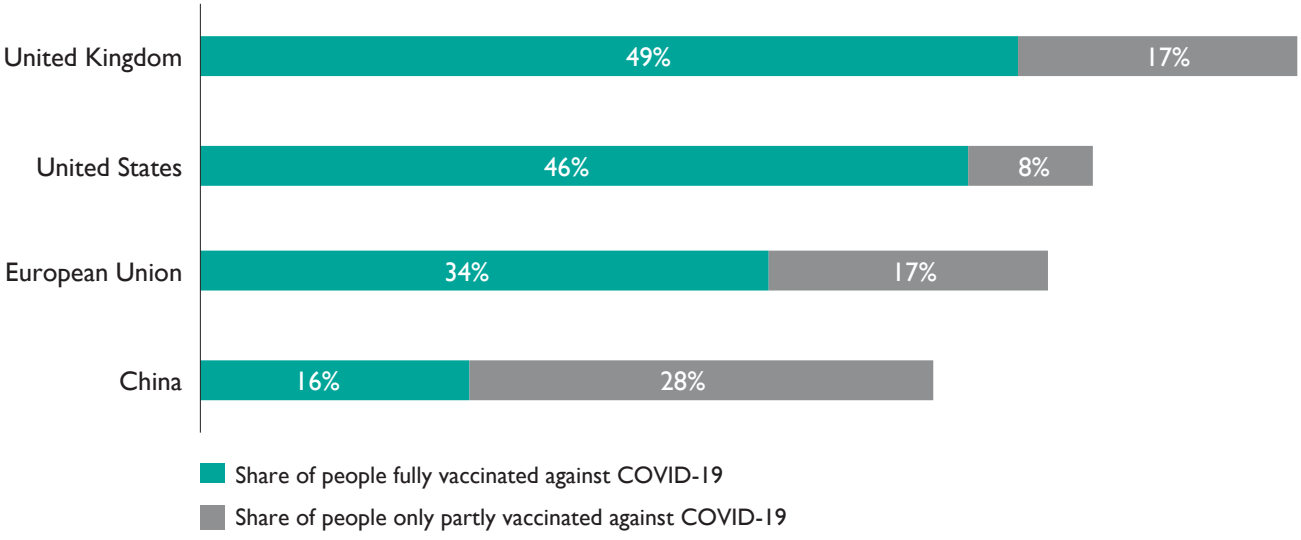


Source: Bloomberg, AXYS

Covid-19 – The tail end?

As the threat of the pandemic as an outsized and largely universal risk to the economy recedes, many believe that inflation and supply-chain disruptions are emergent. According to the latest Mckinsey Global Survey, more respondents are citing risks to growth other than the pandemic. Twenty-eight percent of them cite the pandemic as a risk to domestic growth, compared with half of their emerging-economy peers. In the previous survey, 65 percent in developed economies identified the pandemic as a risk to their countries' growth.

Share of people vaccinated against COVID-19 (as of 30th June 2021)

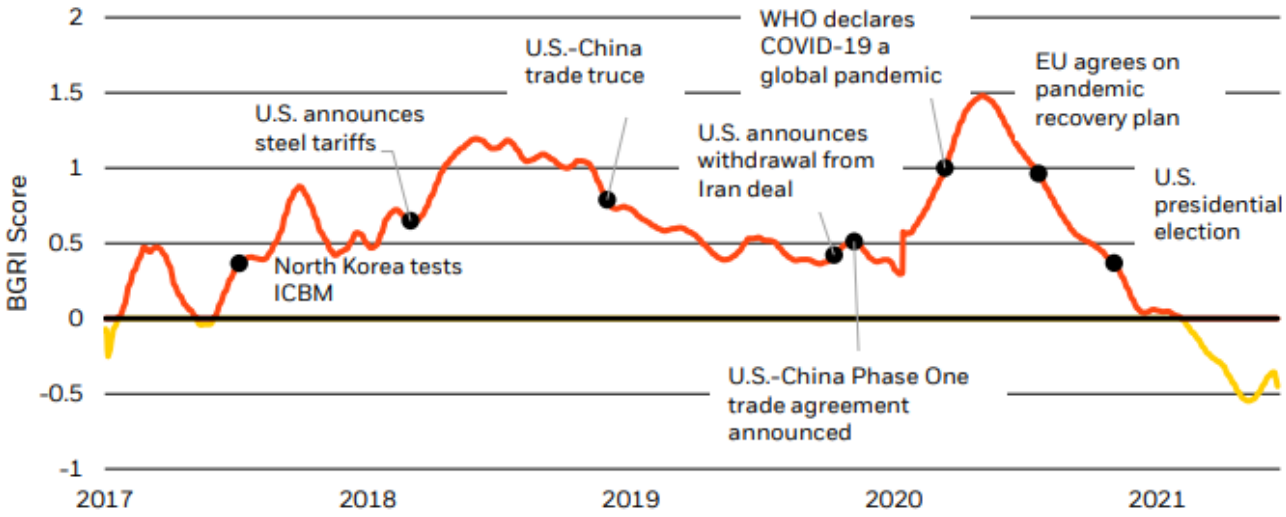


Source: Official Data collated by Our World in Data

This data is only available for countries which report the breakdown of doses administrated by first and second doses

Geopolitical Risks – Are investors off-guard?

The world is more interconnected than ever before, from supply chains to travel to the flow of information. Such ties came under pressure during the 2020 Covid-19 contamination waves. Though lockdowns and restrictions are now progressively softening, and economies are re-opening, the great 'economic catch-up' is grabbing everyone's attention. Consequently, many geopolitical risk indicators are now at record low. As depicted by the diagram below, the global BlackRock Geopolitical Risk Indicator shows a significant reduction in concern about geopolitical risk since the change in U.S. administration. The gauge has been hovering in negative territory this year.



Source: BlackRock Geopolitical Risk Dashboard June 2021.

The COVID-19 pandemic represents a generational crisis, with significant geopolitical implications. As the pandemic enters its second year, U.S-China strategic competition is increasingly becoming a potential geopolitical fault line.

Are Covid-19 Vaccines the new Checkpoint Charlie?

The vaccine rollout has become a vector of heightened U.S-China competition for global influence. China is seeking to lead "vaccine diplomacy" in EMs to facilitate its infrastructure investment as part of its Belt and Road Initiative. As of May, China had exported or donated more than 40% of its total vaccine production while the U.S. has only recently started to export doses as it focused initially on meeting domestic demand. Moreover, tensions are heating up again as the US is preparing to sell weapons to Taiwan with military exercises in the Taiwan Strait and South China Sea, and some in China threatening to reunify Taiwan by force. The issue is arguably being accentuated by US restrictions on semiconductor sales to China which indirectly benefits Taiwan's state-of-the-art semiconductor industry.

Do you know your risk?

Duration Risk is the possibility that changes in interest rates may reduce or increase the market value of a fixed-income investment. The higher a bond's duration, the greater its sensitivity to interest rates changes. This means fluctuations in price, whether positive or negative, will be more pronounced.

Interestingly, more than one duration number is computed. For example, Macaulay Duration, Modified Duration and Effective duration which all broadly converge towards the same conclusion.

A Cyber Era

What is cybersecurity and why is it more important now than ever?

Cybersecurity is the practice of protecting systems, networks, and programs from digital attacks. These cyberattacks are usually aimed at accessing, changing or destroying sensitive information, extorting money from users, or interrupting normal business processes. Cyberthreats come in many forms and have different goals. Ransomware is a type of malware that prevents users from accessing their system or personal files and demands a ransom payment in order to regain access. A denial-of-service (DoS) attack overwhelms a system's resources so that it cannot respond to service requests, which could benefit competitors of the victim company for instance. A phishing attack is the practice of sending emails that appear to be from trusted sources with the goal of gaining personal information or influencing users to do something.

As the information technology sector evolves, the development of cybercrime tools and techniques is intensifying. The switch towards an increasingly connected world has made businesses and individuals more vulnerable to cybercrimes and its hurtful outcomes. In this context, the use of cybersecurity is increasingly becoming essential for those entities that seek to protect themselves from such violations.

The Covid-19 pandemic and subsequent lockdowns that were implemented paralysed the global economy and accelerated this switch to digitalisation. According to a research from McKinsey Global Institute (2021), 20-25% of the workforce in advanced economies could work from home between three and five days a week without a loss in productivity, while this figure stood at 5-6% before the pandemic. Businesses were forced to adapt and made a tremendous effort to implement work-from-home practices, implying that the whole ecosystem of a firm had to be transferred to the online world, including documents, meetings, and communication. All of this represents a gigantic amount of valuable data for a hacking community which is more active and determined than ever to exploit this new configuration. The use of malware increased by 358% through 2020, and that of ransomware increased by 435% compared to the previous year, according to a study by Deep Instinct.

What are the impacts of cyberthreats and how can they be prevented?

Two major cyberattacks recently highlighted the impact of such activities and the need for businesses to prevent them. On the 7th of May 2021, Colonial Pipeline, the firm operating the largest pipeline system for refined oil product in the US, was the victim of a ransomware attack, forcing it to shut down its 5,500-mile pipeline which sparked widespread fears of a gasoline shortage. CEO Joseph Blount agreed to pay a USD 4.4 million ransom to cease the attack. On the 30th of May of 2021, JBS, the world's largest meat company that supplies approximately one-fifth of meat globally has revealed it forked out a ransom equivalent to USD 11 million following the cyber-attack that disrupted its North American and Australian operations. The hack set off a domino effect that drove up wholesale meat prices, backed up animals in barns, forced food distributors to hurriedly search for new suppliers and prevented thousands of employees from working.

Yet, the examples above represent only a tiny portion of financial damage that was caused by cyberattacks. If it was measured as a country, then cybercrime, which is predicted to inflict damages totalling USD 6 trillion globally in 2021, would be the world's third-largest economy after the U.S. and China. These figures are already vertiginous but are not expected to decrease in the years to come. On the contrary, analysts claim cybercrime might cost the world USD 10.5 trillion annually by 2025, up from USD 3 trillion in 2015.

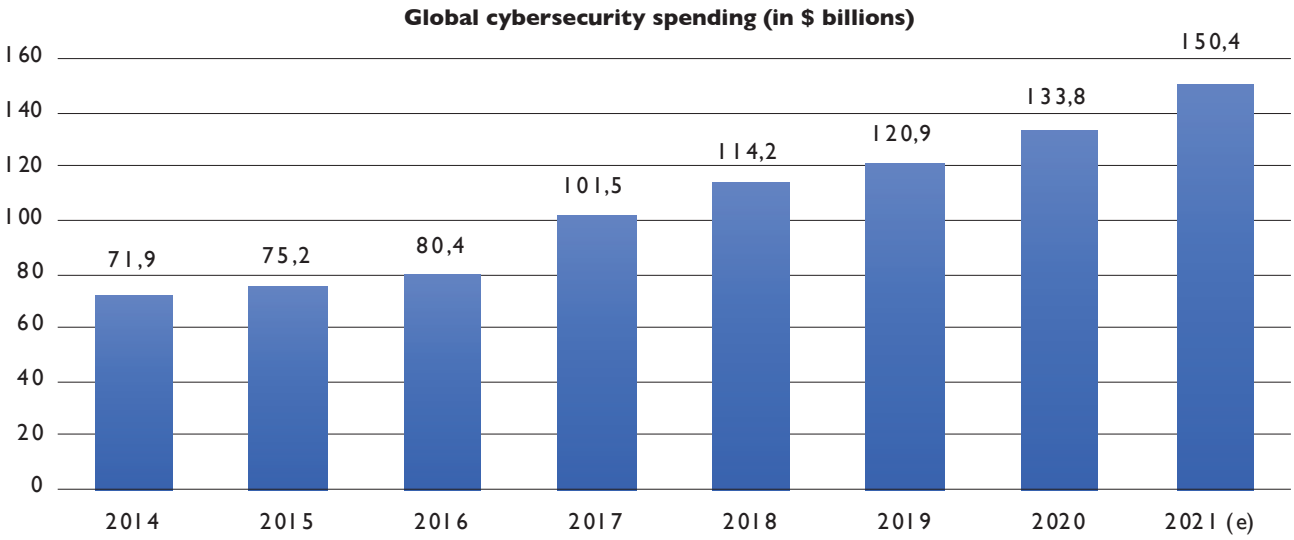
The rapid expansion of cybercrime and the drag it represents on the economy obviously captured the attention of governments from all over the world. The Carnegie Endowment for International Peace released a report in November 2020 titled "International Strategy to Better Protect the Global Financial System against Cyber Threats." Developed in collaboration with the World Economic Forum, the report recommends specific actions to reduce fragmentation by fostering more collaboration, both internationally and among government agencies, financial firms, and tech companies. It focuses on the financial sector because it is one of the few areas in which countries have a clear shared interest in cooperation, even when geopolitical tensions are high. Then, protecting the international financial

system provides a starting point and could pave the way to better protection of other sectors in the future. Following the recent cyberattacks mentioned earlier, the US government pledged to increase its resilience to cyberthreats and consider legislation on ransomware and cybersecurity. Such actions could include secure, encrypted data vaulting that allows members to securely back up customer account data overnight and/or mandatory regular exercises to simulate cyberattacks to identify weaknesses and develop action plans. This represents a unique opportunity for cybersecurity companies that are poised to play a prominent role in this collaboration with international entities.

There are many types of cybersecurity companies. Some of them provide a full range of tools such as firewalls, threat detection and prevention systems, secured networks and endpoint protection, while others provide more specialized services such as e-mail security (to monitor potential phishing attacks) or application security (two-step authentication, security questions…). Finally, some companies provide business security training via multimedia content or real-time simulations of cyberattacks.

How is this industry expected to perform in the coming years?

As mentioned previously, the switch towards an online world, which has been vastly accelerated by the Covid-19 pandemic, led to the intensification of cyberattacks worldwide. The Allianz Risk Barometer surveyed nearly 3,000 experts to uncover the most critical business risks to watch out for in 2021. Cyber incidents turned out to be the 3rd biggest risk, confirming that organizations are aware of the disastrous effects that such activities can have on their operations. In addition, governments are increasingly considering cybercrime as a top priority and are pushing for legislation to be implemented, which would benefit the cybersecurity sector. A recent study conducted by Grand View Research indicates that the global cybersecurity market is expected to expand at a healthy compound annual growth rate (CAGR) of 10.9% through 2028 as cybercrime and cyberattacks affect more individuals, companies, and governments. Clients who wish to play this great opportunity are suggested to do so by investing in the product carefully selected by AXYS. It contains a portfolio of fundamentally strong and well-diversified cybersecurity companies that are poised to benefit from improving conditions in the industry.

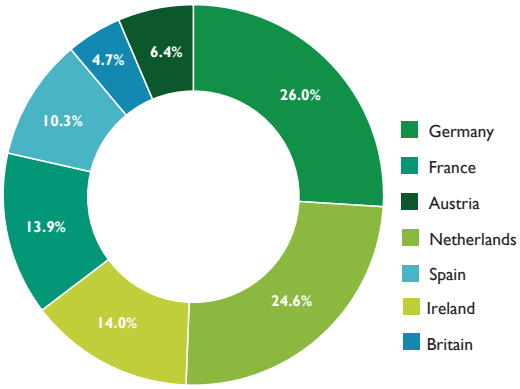


Source: Gartner

AXIOM Sustainability Premia Is Now Live

In the past 2 editions of the AXYS Quarterly Insight, we introduced our then upcoming sustainable fund. On the 21st of May 2021, AXIOM Sustainability Premia was launched after 9 months of extensive verifications, back testing and validations. The fund's strategy gives exposure to European ESG stocks and delivers sustainable results; in simulations, it proved to be very resilient to all types of market events. Our long-short strategy has delivered from the first trading day (17th June 2021), where 70% of AXIOM Sustainability Premia investments were profitable, while the Euro Stoxx 50 experienced a significant drop.

Geographic Split



We believe that innovative and environment-friendly companies and those which are incorporating ESG pillars in their business activities are the way forward. From green energy, healthcare, e-commerce, sustainable development, and recycling of existing goods, some of the typical companies to which the Fund will be exposed are listed below.

SMA Solar specializes in photovoltaic systems technology. At the moment, the company is developing sophisticated system solutions perfectly tailored to suit the needs of the "electricity prosumers" of tomorrow.

Koninklijke Philips strives in health technology and is focused on the improvement of people's health through innovation. The company offers a range of products and services in diagnostic imaging, image-guided therapy, patient monitoring and health informatics, as well as in consumer health and home care.

Adyen offers a platform built to simplify and accelerate global payments which allows merchants to accept payments in a single system, enabling revenue growth online, on mobile devices and at the point of sale.

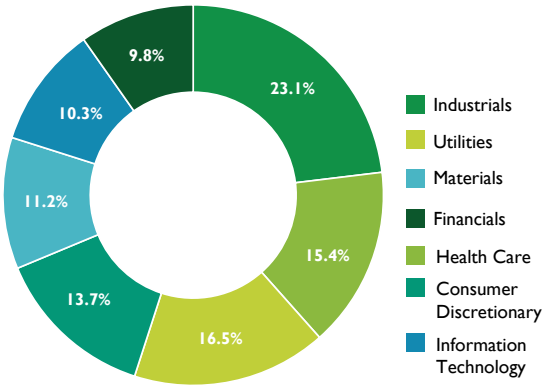
Veolia provides optimized resource management services in France. The company designs water, waste and energy management solutions that contribute to the sustainable development of communities and industries.

Hella develops and manufactures products that enable sustainable, safe, and efficient mobility for the automobile industry vehicle parts and accessories. The company operates

What have we invested in?

AXIOM Sustainability Premia is truly European-focussed and provides investors with a diversified exposure to the most vibrant markets across Europe. Not only does the Fund have a mixed geographic footprint, but it is also exposed to 7 different sectors through best-in-class companies that contribute to and have a positive impact on the 3 pillars of ESG investing: Environment, Social & Governance. We expect these companies to help build a more sustainable future that we call benefit from.

Sector Split



mainly in Europe but also serves customers worldwide through three segments: Automotive, Aftermarket and Special Applications.

Europe: Global leader in Socially Responsible Investments (SRI)

We maintain our high convictions on the European market as being the most mature investment universe for ESG investing. The European Union is committed to make Europe climate neutral by 2050 and establish the region as the world leader in ESG. Through the European Green Deal Investment Plan, the commission aims to mobilise EUR 1trillion over the next 10 yearss and putting green financing at the center of the financial system, thus paving the way for growth and innovation in the ESG landscape to thrive in Europe.

As such, in the European Union, greenhouse gas emissions caps have been put in place. Since 2005, EU companies can sell or buy their allowances in the world's largest greenhouse gas emission trading system. The 'cost of polluting' which can be derived from this market has substantially risen over the last 6 months. Since the beginning of 2021, the price of Carbon emission climbed by 73%, putting pressure on margins from polluting companies. Companies that belong to the AXIOM Sustainability Premia investment universe already adhere to these strict environmental rules. They are hence immune from such rising input costs and should benefit from a comparative advantage

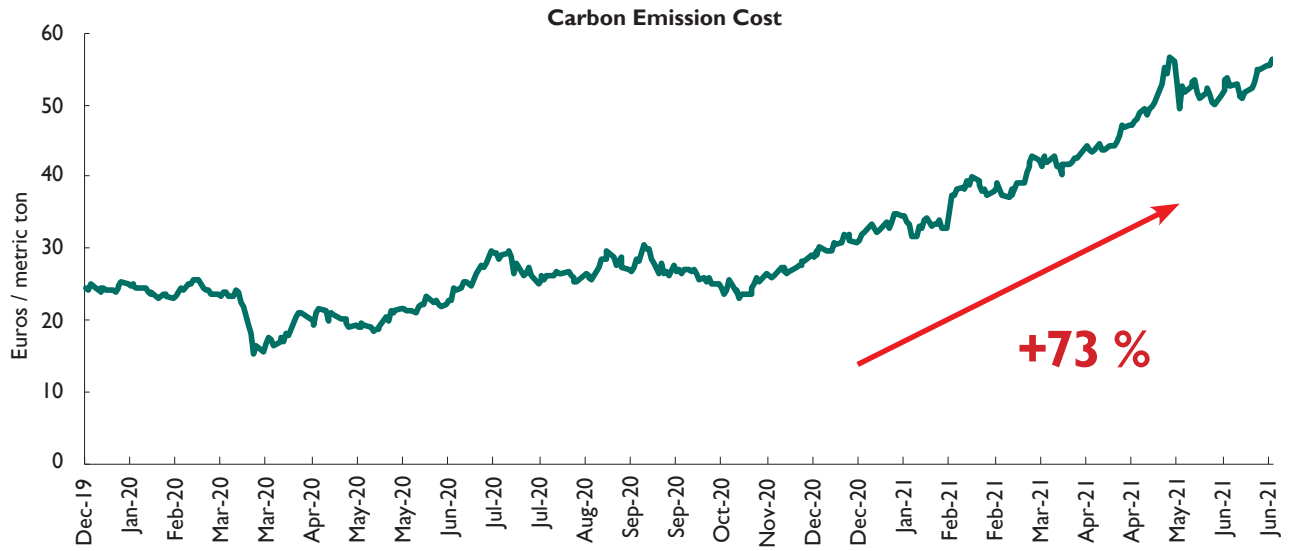


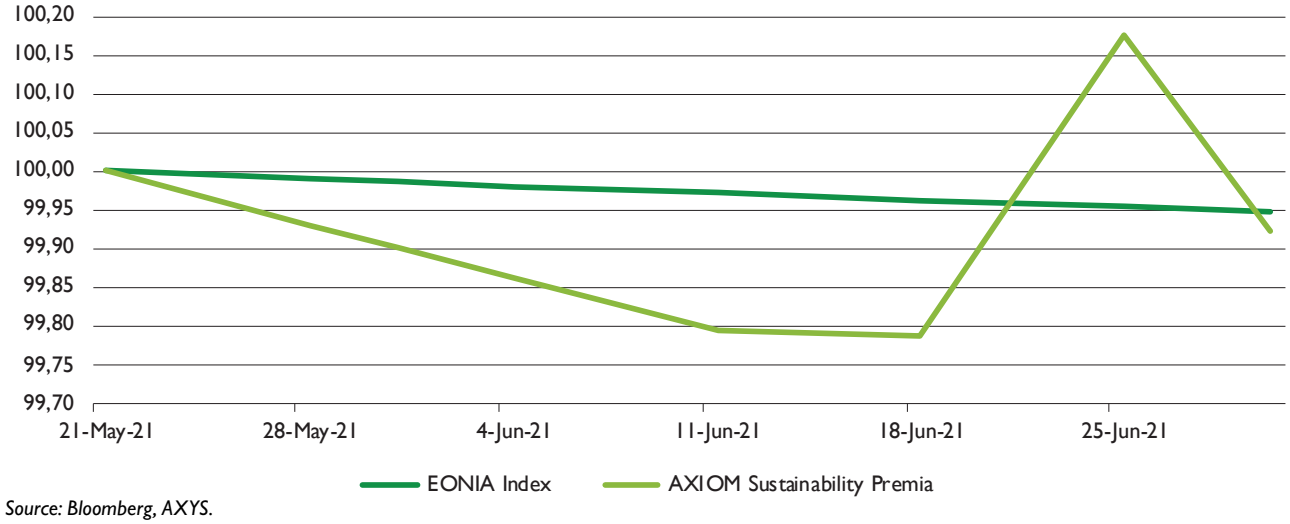
Figure 1: Carbon Emission Cost

Source: Bloomberg, AXYS.

How has AXIOM Sustainability Premia fared over the month of June?

Over the month, the European ESG Stocks as measured by the EURO STOXX 50 ESG Index TR (EUR) rose by 1.07% outperforming the EURO STOXX 50 Index TR (EUR) by 36bps. Top performing countries in the ESG space were Germany and France while top performing sectors were Technology and Consumer Staples. Market sentiment on European ESG stocks has been strong across the board.

Our indicator based on investor flows reveals a net inflow of approx. EUR 740 million last month, totaling EUR 4.2 billion for this year on the asset class. At the country level, top contributors were Germany and Ireland while main detractors were France and Netherlands. At the sector level, Industrials and Technology contributed positively to the overall performance while Financials and Utilities contributed negatively. Top performing underlying stocks such as SMA Solar Technology, a leading photovoltaic technology company and Pentair, a company providing sustainable water solutions helped the fund performance.



Source: Bloomberg, AXYS.

Performance	AXIOM Sustainability Premia	EONIA Index
1 Month	0.02%	-0.04%
Since Inception	-0.08%	-0.05%
Since 1st Trade	0.14%	-0.02%

Note: All performance metrics are based on estimated figures and are unaudited. These figures are subject to change but provide an approximate indication of performance.

AXYS Global Commodity Fund

Product Description

The commodities sector experienced significant tail-winds during Q2'21. The asset class rose across the board as pent-up demand and fiscal stimulus combined to propel industrial commodity prices up. Going-forward, as vaccination rollouts keep on increasing and economies are reopening together with travel and tourism, many observers believe this momentum will carry on during Q3'21. The combined effect of OPEC supply actions and the gradual recovery of oil consumption is expected to be beneficial to energy prices, whilst industrial metals will likely benefit from the Biden infrastructural stimulus.

The precious metals segment also contains some interesting opportunities.Though gold might have come under pressure from rising U.S real yields, silver prices are expected to rise due to the uptick in industrial demand for electronics. Moreover, demand for platinum will be bolstered by the implementation of tighter emissions standards in China and Europe which boosted platinum use in autocatalytic converters.

Highlights

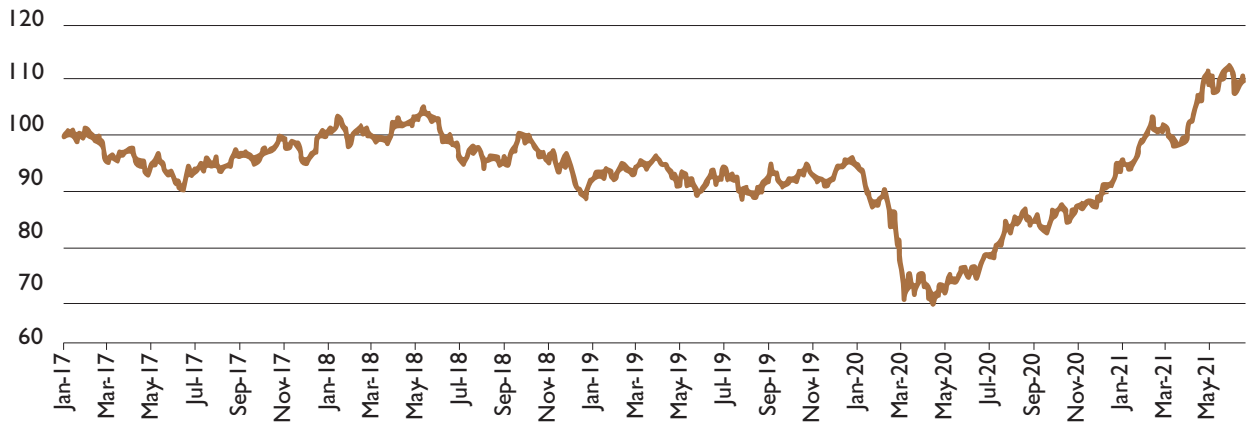
Currency	USD
Current AUM	USD 1.22 Billion
Inception Date	12th January 2017
Ticket Size	USD 10,000
Entry/Exit Fees	2%
Trading Frequency	Daily

Target Audience

This product is for investors who wish to diversify their investments and benefit from:

- Recovering economic activity fuelling demand for commodities.
- Multiplier effects unfolding in the commodity sector from infrastructural fiscal stimuli.
- Thematic instrument with daily liquidity denominated in USD.

Performance of AXYS Global Commodity Fund

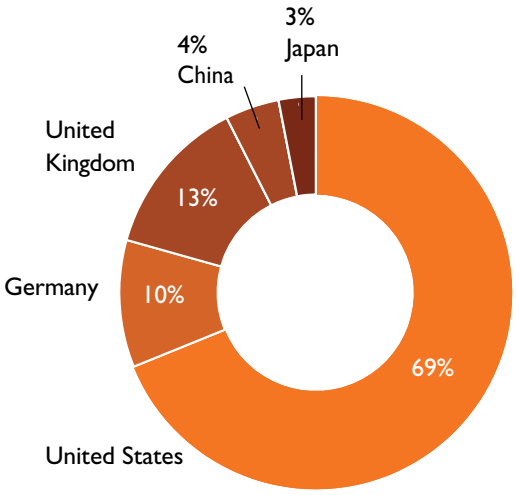


AXYS Global Commodity Fund

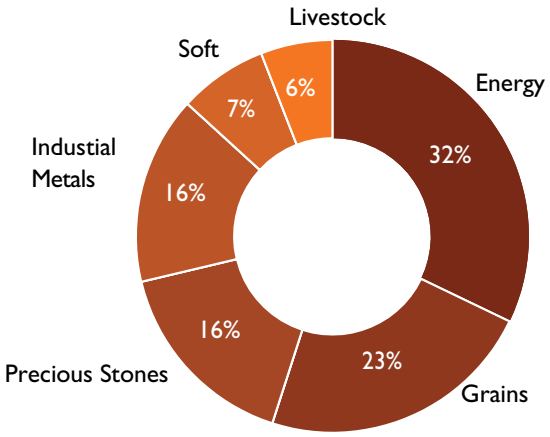
Basket Metrics (as at 30th June 2021)

Year-to-Date Return	19.2%
Annualised Return last 3 Years	3.0%
Annualised Return	2.1%
Annualised Volatility	12.2%

Country Breakdown



Sector Breakdown



AIM FOR SUSTAINABILITY
Opportunities for sustainable returns on investment

Overview

Traditional investing delivers value by translating investor capital into investment opportunities that carry risks commensurate with expected returns. Sustainable investing balances traditional investing with environmental, social, and governance-related (ESG) insights to improve long-term outcomes. It requires the development of deeper insights about how value will be created going forward using ESG considerations. Sustainable investing takes into consideration more diverse stakeholders, consistent with how companies are developing today.

AXYS firmly believes that there is a growing recognition in the industry that some ESG factors are indeed long term economic factors, and feels that it is therefore important to incorporate material ESG factors in our approach to long term investment. Hence AXYS has launched its own sustainable fund, resolutely anchored in the current trend for a new financial world.

AXIOM Sustainability Premia is an alternative investment fund which offers a sustainable investment solution, while proving resilient in up and down-market cycles, suiting investors with a long-term investment horizon (3yrs+).

Sustainability in Europe

The European market, which is considered as the most mature sustainable universe is the ideal vehicle to achieve our vision with more than 45% of assets employing ESG strategies.

Sustainability Premia

The Fund aims to capture the expected ESG premium from ESG related equities in both falling and rising markets.

Market neutrality / Limited volatility

By investing in a long-short strategy, the Fund seeks to be market neutral with low correlation to traditional asset classes. This layer of protection also allows the strategy to limit its exposure to volatility and provide downside protection against highly distressed markets.

Philosophy

We believe that sustainable companies have a long-term competitive advantage over their non-sustainable counterparts and should outperform over the long-term.

The European market, being one of the most dynamic sustainable segments globally, offers the best of such investment opportunities.

Key Points

- Exposure to best-in class sustainable stocks in Europe.
- Capitalising on sustainable investing momentum in Europe.
- Backed by robust investment process & market research.
- Resilient to adverse market events.

Process

- We filter though the European universe to select stocks with high ESG characteristics.
- We apply a security selection model that aims to capture the best-in-class ESG stocks.
- We optimise the portfolio to achieve market neutrality.

AXIOM Sustainability Premia

Key Information

Share Class Availability
Class I (EUR, USD, MUR)
Class R (EUR, USD, MUR)

Management fee

Class R: 1.00%
Class I: 0.50%

Performance fee

Class R: 20% of positive performance above its HWM
Class I: 15% of positive performance above its HWM

Entry / Exit fee

Up to a maximum of 2%

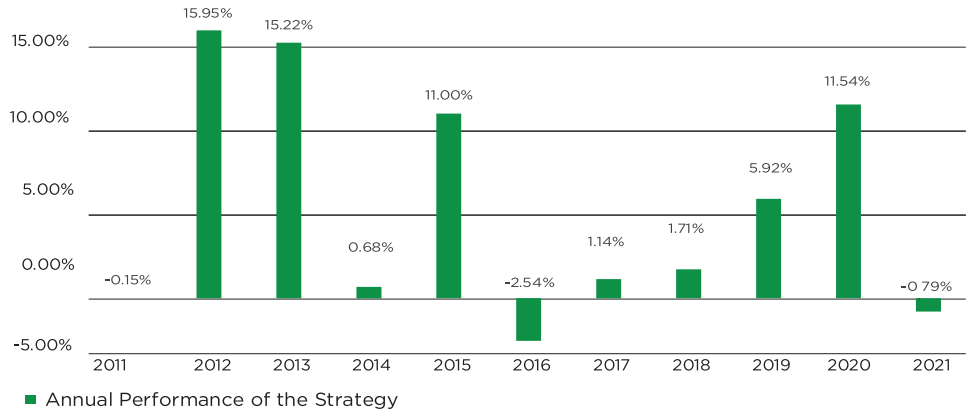
Minimum Investment

Class R: EUR 1,000 or equivalent
Class I: EUR 100,000 or equivalent

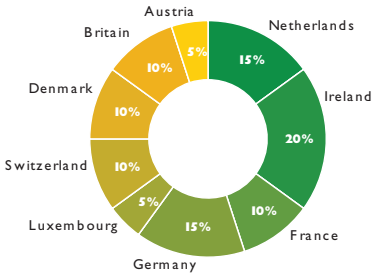
Liquidity

Weekly





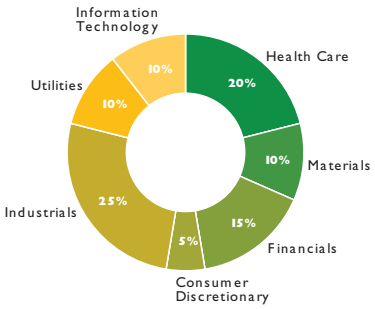
Sector Allocation



Performance & Risk Metrics (Backtested simulation as at 21st June 2021)

3 Years (Ann.)	5.18%
5 Years (Ann.)	3.32%
Cumulative Return	75.17%
Since Inception (Ann.)	5.57%
Beta	0.03
Max Drawdown (Mthly)	-4.84%

Country Allocation



Event	Strategy	SX5E
Aug 2011 Black Monday	-4.84%	-19.20%
Feb 2016 Crash	4.08%	-16.48%
2018 Tech Crash	-1.14%	-14.75%
Covid-19 Crash	-0.68%	-32.91%

Note: Due to limited history, the Fund's performance has been simulated using backtesting techniques. Simulated results are achieved by the retroactive application of a backtested model, itself designed with the benefit of hindsight. Such hypothetical or simulated performance results have inherent limitations. Past hypothetical backtest results are neither an indicator nor a guarantee of future returns, , and no representation or warranty, expressed or implied is made regarding future performance. Actual results will vary from those in the analysis

Fund Objective

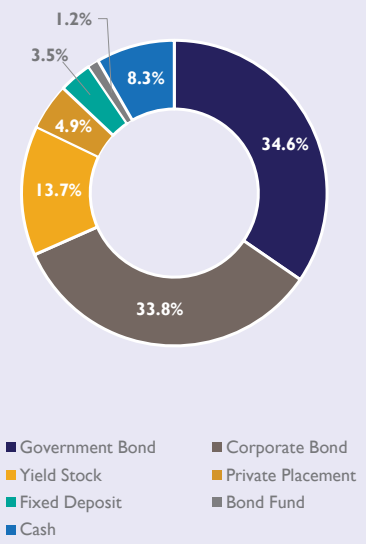
AXIOM Yield Fund was set up with the objective of providing investors with regular income and aims to outperform the average savings rate plus a premium by maximizing risk adjusted returns.

Fund Manager Comments

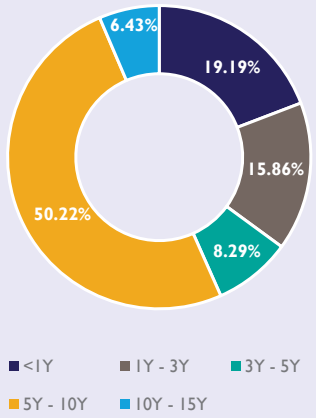
During the month, there was an unusually high number of bond issues of different maturities, wiping out excess liquidity that existed in the market, thus increasing rates. Consequently, bond prices have suffered driving down the Fund's NAV. We believe that this context may reverse after 30th June 2021, with a smaller number of bond issuances. Across the board, the last 15-year Government of Mauritius Bonds had a weighted average yield standing at 4.65%, representing a 108 bps rise compared to the auction held in April 2021. Similarly, the last 10-year Government of Mauritius Bonds had a weighted average yield standing at 4.56%, representing a 215 bps rise compared to the 10-year bond auction held in March 2021. Treasury bills went up throughout the month before correcting slightly in the last bid of the month.

Total AUM	MUR 352.0M
NAV	11.36
Currency	MUR
Inception Date	23 November 2017
Minimum Investment	MUR 50,000
Dividend Frequency	Semi Annually (Oct 1st & April 1st)
Dividend Yield	3.51%
Total Expense Ratio	1.30%
Benchmark	Average Savings Rate + 2.0%
Entry Fee/Exit Fee	Up to 2%
Liquidity Period	Weekly

Asset Class



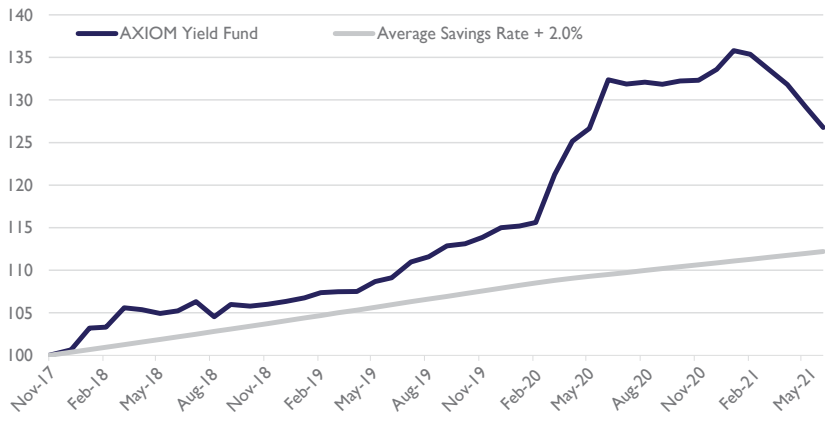
Duration Breakdown



Portfolio Metrics

Average Duration	5.27
Average Maturity	6.94

Fund Performance



Performance as at 30 June 2021

	AXIOM Yield Fund	Avg. Savings Rate +2.0%
1 Month's Return	-1.88%	0.20%
3 Months' Return	-5.06%	0.60%
YTD	-5.12%	1.20%
12 Months' Return	-4.24%	2.46%
Return Since Inception	26.77%	12.20%
Annualised Return Since Inception	6.80%	3.25%

Note: Line graph assumes reinvested dividends

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YEAR	Avg SR + 2.0%
2017	-	-	-	-	-	-	-	-	-	-	-	0.64%	0.64%	0.38%
2018	2.55%	0.11%	2.19%	-0.21%	-0.42%	0.29%	1.03%	-1.68%	1.39%	-0.18%	0.21%	0.29%	5.65%	3.67%
2019	0.39%	0.59%	0.11%	0.02%	1.09%	0.41%	1.70%	0.54%	1.16%	0.20%	0.68%	1.01%	8.16%	3.68%
2020	0.15%	0.37%	4.88%	3.22%	1.20%	4.52%	-0.38%	0.16%	-0.19%	0.30%	0.05%	0.98%	16.16%	2.76%
2021	1.64%	-0.31%	-1.37%	-1.28%	-1.98%	-1.88%							-5.12%	1.20%

Note: Performance statistics assume reinvested dividends.

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